

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

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(i) RENT

DEFINITION OF RENT:

Generally Rent is meant by any payment made for the use of some property or hiring some goods e.g. rent of land, a house, a shop, a car, a motor cycle etc.

But in economics the concept of rent is used in a broader sense "It means the payment or reward for the use of any factor of production whose supply is in-elastic". As land is the only factor whose supply is fixed. Thus, the amount or share received by the owner of the land from cultivators or tenants in return of using the piece of land as a factor of production is known as "rent".

KINDS OF RENT

- (i) Net rent or Economic Rent (ii) Gross Rent

(I) NET / ECONOMIC RENT:

It is also known as "pure rent". It means the payment or share given to the owner of land for its use for a specific period of time (one year) as a factor of production by the cultivator / user of that piece of land. It includes the reward of the services of the piece of land only. No other additional payment e.g. use of machinery, tube well etc. is included in it.

(II) GROSS RENT:

It is the total payment made by the cultivator or tenant to the land owner due to some extra facilities given by the land owner to him. It includes the following payments as under:

- (a) Net rent which is the exclusive reward of the services of land.
- (b) The interest of the capital investment on land by the land owner in the shape of Residence, shed, machinery, tubewell, etc.
- (c) Wages of land owners employed labourers to help tenants etc. Cultivators to look after land and collect rent from them.
- (d) Charges for the maintenance of machinery (as depreciation allowance due to wear and tear of machines) provided by the land owner for use of that land.

Thus: $\text{Gross Rent} = \text{Net rent} + \text{Interest of capital} + \text{wages of labour} + \text{Depreciation Allowance}$

DETERMINATION OF RENT

Following two theories are considered most important w.r. to determination of rent.

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1. RICARDIAN THEORY OF RENT

David Ricardo belongs to "Classical School of Thought". He has defined rent in his well known book "Principles of Political Economy and Taxation" written in 1817.

According to Ricardo "rent is the part of product paid to the land-owner by the cultivator for its use due to the original and indestructible powers of the soil". As various pieces of land differ in quality, fertility and situation. Thus when identical units of variable factors of production e.g. labour, capital etc. are applied on these different categories of land, the yield differs from each other. Hence the difference between the output of superior lands compared with the most inferior (Marginal) land is regarded as the rent of the superior lands.

For further explanation of his theory, Ricardo assumes that in a new discovered Island there are four categories of land: A, B, C and D. Category A is the most fertile land. Thus naturally new settlers bring A category land under cultivation. We assume that its output is 20 maunds of wheat which only covers the cost of production. Moreover, it is the only piece of land under cultivation. Thus it is marginal or "no rent land".

After sometime, due to increase in population when needs of people grow up A category land becomes unable to satisfy them. Hence B category land is brought under cultivation. This being inferior than grade A, gives less output. Let us assume that total output of category B land is 15 maunds of wheat. Now grade B will become the marginal land and rent of category A = $[20 - 15 = 5]$ maunds of wheat. This rent is paid due to superiority of A category land over grade B land.

With the passage of time when the needs of growing population are not fulfilled through the above mentioned two categories A & B, category C land is brought under cultivation. Assuming its output = 12 maunds of wheat which is just covering the cost of production it will become marginal land and now grade A and B both will give rent.

Rent of category A = $20 - 12 = 8$ maunds of wheat

Rent of category B = $15 - 12 = 3$ maunds of wheat

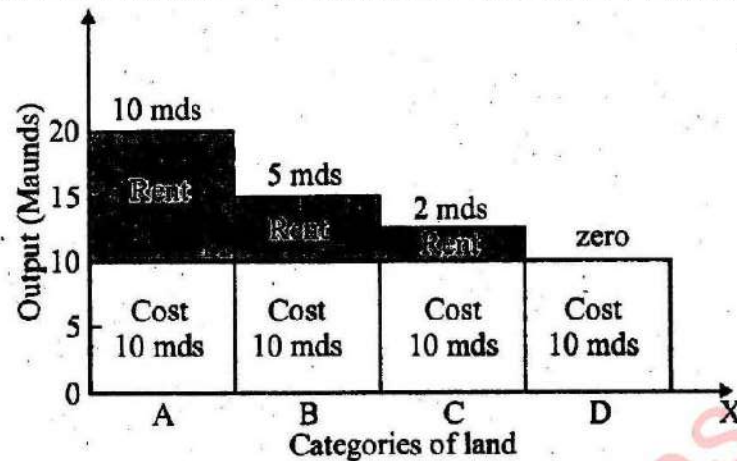
Ultimately when last category D is brought under cultivation, being most inferior land its output = 10 maunds of wheat which hardly covers its cost. Thus it becomes "no rent" or "Marginal land". Now grade A, B & C provide rent as under

- (i) Rent of grade A = $20 - 10 = 10$ maunds of wheat
- (ii) Rent of grade B = $15 - 10 = 5$ maunds of wheat.
- (iii) Rent of grade C = $12 - 10 = 2$ maunds of wheat.
- (iv) Rent of grade D = $10 - 10 = 0$ (no rent land)

The above explanation is based on the assumption that only one unit of L & K is applied on different categories of land.

Keeping in view of the above information Rent of Grade A, B and C land have been shown in the following Table:

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It can also be explained as under keeping in view the application of law of diminishing returns

Yield of Wheat per Acre (Maunds)				
Units of L & K	A category land	B Category land	C Category land	D category land
1	20	15	12	10
2	15	12	10	8
3	12	10	8	6
4	10	8	6	4
5	8	6	4	2

According to the schedule it is assumed that total cost per unit of Labour and Capital = 10 maunds of wheat.

The calculation of rent will be Total output – Total cost

Thus: 1 – While applying 4 units of L & K on A category land.

Total output = (20 + 15 + 12 + 10) = 57 maunds of wheat
 Total cost = (10 × 4) = 40 maunds of wheat
 Rent = 57 – 40 = 17 maunds of wheat

2. While applying 3 units of L & K on B category land:

Total output = (15 + 12 + 10) = 37 maunds of wheat
 Total cost = (10 × 3) = 30 maunds of wheat
 Rent = 37 – 30 = 7 maunds of wheat

3. While applying 2 units of L & K on category C land:

Total output = (12 + 10) = 22 maunds of wheat
 Total cost = (10 × 2) = 20 maunds of wheat

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Rent = 22 – 20 = 2 maunds of wheat

4. While applying only one unit of L & K on category D land:

Total output = 10 mounds

Total cost = 10 mounds

Rent = 10 – 10 = 0 (No rent or Marginal land)

ASSUMPTIONS OF THE THEORY

This theory is based on the following assumptions.

1. There is perfect competition among cultivators thus:
 $P = AR = MR = MC = AC$ at Marginal land.
2. Cultivators have pre-knowledge about the fertility of various categories of land A, B, C & D. Moreover, they start cultivation with most fertile grade of land A.
3. Original and indestructible quality of land.
4. Concept of Marginal (No rent) land provides basis for rent calculation of other categories of land.
5. Application of the law of decreasing returns upon agriculture produce.
6. Identical units of variable inputs e.g. labour, capital etc.
7. Rent is not included in the cost of production and it does not affect the price of output.

CRITICAL ANALYSIS OF RICARDIAN THEORY OF RENT

Following are the limitations and weaknesses of the theory.

1. UN-REALISTIC ASSUMPTION OF PERFECT COMPETITION:

Ricardo's assumption of perfect competition among cultivators is un-realistic and does not prove true in practical life.

2. POWERS OF THE SOIL ARE NEITHER "ORIGINAL" NOR "INDESTRUCTIBLE"

Fertility of the land does not remain constant. It changes with the passage of time. Role of manpower and capital is very important in enhancing or decreasing the fertility of land of the same grade. Proper use of fertilizer, better seeds, irrigational facilities, eradication measure's of water logging and Salinity may raise the fertility of land while, in the absence of these measures and excessive use of the land may reduce the fertility of a better category land. Thus we can't agree that the power of the soil is "original" and "indestructible".

3. FALSE ASSUMPTION ABOUT THE PRE-KNOWLEDGE OF FERTILITY:

According to Ricardo cultivators are aware about the fertility of the land even before it is brought under cultivation and "superior land" is cultivated first. It is not true. Actually fertility of the land is known after it's use. Thus Ricardo's assumption is only hypothetical having no reality in it.

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4. FALSE ASSUMPTION OF CULTIVATION OF "SUPERIOR LAND" FIRST:

There is no solid proof behind this assumption that first of all people brought "superior land" under cultivation. In reality people preferred to cultivate that land first which was plain, easily accessible, nearer to their homes, cities, markets and water courses etc.

5. UN-ACCEPTABLE INTERPRETATION OF LAW OF DECREASING RETURNS:

It is not true that "production process" is influenced by the "decreasing returns concept" right from the first additional input unit. Due to modern techniques of production marginal product goes on increasing upto a certain limit and after that "law of decreasing return" start's playing it's role.

6. RENT IS A PART OF COST OF PRODUCTION:

Ricardo does not include rent in the cost of production. And to him it has no effect upon the price of the output. But modern economists do not agree with this view. They say that like other expenses of inputs e.g. seed, fertilizer, water rate, agri-equipment etc. rent is also paid by the cultivator to the land owner. Thus rent is a part of total cost and it is included in the price of his output.

7. UN-UNDERSTANDABLE CONCEPT OF "NO RENT LAND".

According to modern approach concept of marginal (no rent) land is vague and unacceptable. As supply of land is scarce and in-elastic with respect to it's demand thus every type of land yields rent.

8. RICARDO'S THEORY DOES NOT DETERMINE THE RATE OF RENT.

This theory tells only that rent of more fertile land is greater than the rent of less fertile land. But it does not explain that how the rate of rent is determined.

9. UNITS OF VARIABLE INPUTS ARE NOT IDENTICAL.

This theory also assumes that all the units of variable inputs e.g. labour, capital etc. are identical in nature. But it is hardly true as the efficiency of every unit differs from the other.

MODERN THEORY OF RENT

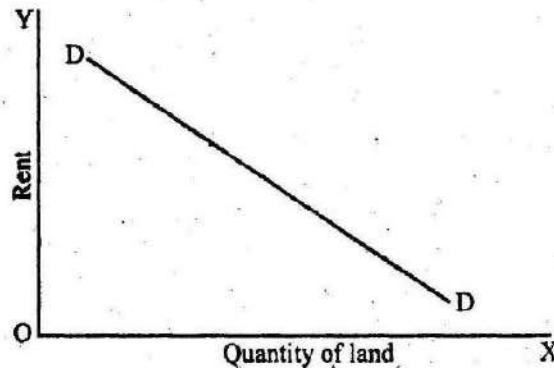
It is a general theory of prices determined by demand and supply forces. Rate of rent is also determined keeping in view the point of equilibrium between demand and supply of land.

As the nature of supply and demand for land differs than other commodities. Thus first of all we discuss the demand side and supply side separately.

1. DEMAND FOR LAND:

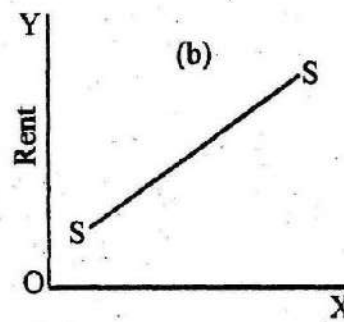
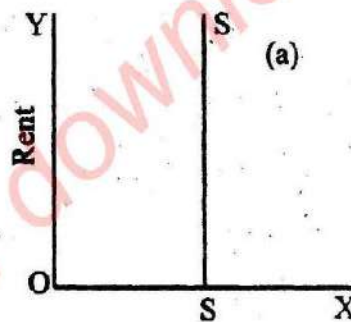
The demand for land is indirect and derived. It is dependent on the demand for crops vegetables, and other goods produced by land. With the increase in the demand for such goods more land will be demanded to increase their production and supply. Due to law of decreasing returns, the Marginal product of land will go on decreasing. It means that more land will be demanded at lower rate of rent. Thus the demand curve for land will be negatively sloped as under. The demand for land may be by an individual cultivator or by the whole economy at national level.

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2. SUPPLY OF LAND:

- (a) From National point of view, the supply of land for the economy as a whole is fixed. Thus the supply curve is perfectly in-elastic and it becomes vertical on x-axis. High or low or even zero rent has no effect upon it's supply as it remains constant.
- (b) In view of the use of land by some cultivators, the supply of land may be changed. Supply curve rises from left to right. It means that by offering higher rent, land can be shifted for this use while it is withdrawn from other uses. Both these shapes (a) and (b) of land supply curves are drawn as under:
- (i) Panel (a) shows vertical supply curve of land for the whole economy at national level
- (ii) Panel (b) indicates positively sloped supply curve of land in view of uses of land.

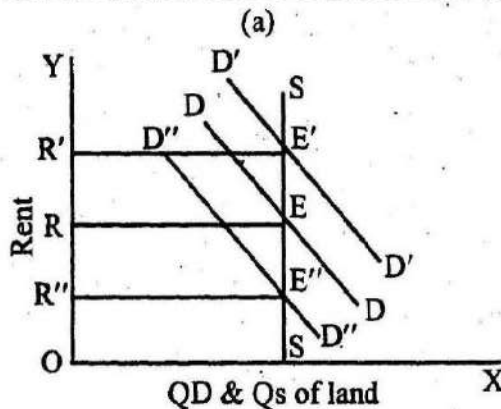


DETERMINATION OF RENT

The theory behind the determination of rent of land is the equilibrium level of demand for and supply of land. It is explained as under keeping in view the shapes of demand and supply curves discussed as above:

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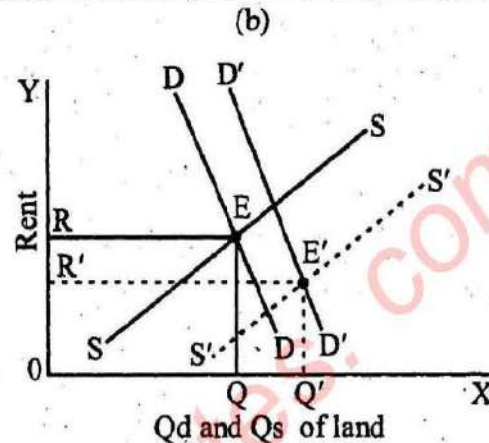
(a) At national level (Economy as a whole)



In diagram (a) S_s is the fixed supply curve and DD is negatively sloped demand curve for land. Both these curves intersect each other at point E which determines OR rent for the land.

Due to increase in the demand for land $D'D'$ shifts upward to right intersecting S_s supply curve at E' . Rent has increased from OR to OR' . Due to decrease in demand for land $D''D''$ shifts downward to left showing E'' new equilibrium point and a fall in rent from OR to OR'' .

(b) In view of uses of the land by cultivators



In diagram (b) SS supply curve and DD demand curve for land intersect each other at point E which determines OR rent as measured along y -axis. Due to increase in demand for and supply of land both new curves $D'D'$ and $S'S'$ intersect each other at point E' which shows a decrease in rent as OR' instead of OR . It is due to the fact that relative increase in supply of land is greater than increase in demand for land.

If relative increase in demand for land becomes more than increase in supply rent will increase.

ASSUMPTIONS OF THE THEORY

Demand and supply theory of rent is based on the following assumptions.

1. Total cultivatable quantity of land is fixed in the whole economy.
2. All land is equal in quality and fertility.
3. Perfect competition among cultivators.

Note: These assumptions are used to make the analysis direct and simple.

DIFFERENT CONCEPTS OF RENT

1. DIFFERENTIAL RENT:

In reality the concept of "differential rent" is the main theme of Ricadian theory. Because differential rent arises due to the difference in the fertility and productive capacity of various categories of land. Thus all the extra produce of a superior land over and above the produce of marginal land is known as "differential rent."

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The second aspect of the "differential rent" is the situation "where land is located./ The lands located near towns, cities and main markets yield more rent than the lands located at far off places and away from the main cities and markets. Thus the difference of rent due to location and situation is also regarded as "differential rent."

2. SCARCITY RENT

The main reason behind scarcity rent is that the supply of land is limited, in-elastic and fixed with respect to the demand for land. When demand for goods grown on land rises due to increase in population the demand for land increases also. While on the other hand supply of land remains scarce and inelastic. Thus, rent has to be paid to the land owner for its use. This is called scarcity rent.

The reasons for the scarcity of land may be mentioned as under:-

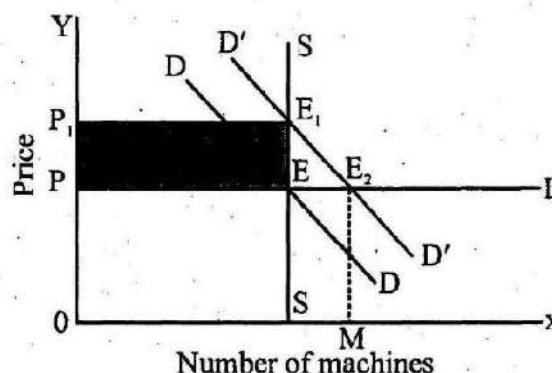
1. More houses are required for increasing population.
2. The demand for land increases due to rising demand for industrial and commercial concerns. The construction of more production units and trade organizations require more land.
3. Wastage of land due to water logging and salinity.
4. A large quantity of un-cultivated land depending upon. Mountains, Rivers, Deserts, Roads, etc All these factors cause "Scarcity of land".

3. QUASI RENT

The concept of "Quasi Rent" is related with the ideas of Alfred Marshall. It can be defined as under:-

Quasi rent is that additional (extra) income which arises due to short supply of any factor other than land in the short period." Some factors e.g. machine, equipment, Aeroplanes, human skills etc. are fixed in supply in the short period. When demand for such goods or services rises, their supply being in-elastic, they earn extra income which is regarded as "Quasi rent". It is temporary and short run earning. In the long run when the supply of these factors rises, "Quasi Rent" disappears.

It can be explained with the help of following diagram.



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EXPLANATION:

SS is short supply curve of machines which is perfectly in-elastic. DD demand curve for machines intersects SS curve at point E. Here the number of machines is = OS and price = OP. Now demand for machines rises in the short run pushing new demand curve D'D' upward to the right. As supply of machines cannot be increased in the short period, thus new point of intersection will be E₁, which shows an increase in the price of machines as OP₁. This rise of price yielding extra income to the machines suppliers shown by PEE₁P₁ (shaded area) becomes their Quasi Rent.

Now in the long-run new machines are supplied in the market and their supply curve becomes PL which intersects the rising demand curve D'D' at E₂. Now the number of machines has increased from OS to OM and price has gone down at the original level OP. Thus Quasi rent is eliminated in the long run.

OBJECTIVE QUESTIONS

Select and tick (✓) the correct answer.

- How much rent is yielded by Marginal land.
(a) Very high (b) Very little (c) Zero (d) Normal
- Who wrote the book "Principles of Political Economy and Taxation."
(a) Alfred Marshall (b) David Ricardo (c) Hicks (d) Robinson
- In view of the uses of land its supply may:
(a) Change (b) Remained fixed
(c) Be decreased only (d) Be increased only
- "Quasi Rent" is related with which time period.
(a) Long-run (b) Short run
(c) Not related with any time period
(d) One day only
- Who discarded the theory of "Superior Land Cultivation First".
(a) Pigou and Canon (b) Roscher and Carey
(c) Stonier and Hague (d) Malthus and J.S. Mills
- Which kind of rent is yielded due to in-elastic supply of land.
(a) Scarcity rent (b) Quasi rent
(c) Differential rent (d) Transfer payments
- Which group of Economists says that rent is a part of the cost of production.
(a) Classical (b) Neo-classical (c) Modern (d) Monetarists.
- Who introduced the classical theory of rent.
(a) Pigou (b) David Ricardo
(c) Alfred Marshall (d) Prof. Robbins
- Who presented the concept of "Quasi Rent".
(a) Adam Smith (b) Canon (c) Malthus (d) Alfred Marshall
- When interest and wages are included in net rent it becomes:
(a) Quasi rent (b) Gross rent (c) Marginal rent (d) Differential rent.

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DESCRIPTIVE PART – I

SHORT NOTES

1. Define Net Rent?

Its means the payment given to the owner of land as the reward of land for it's use for the specific period of time, by the cultivator.

2. What is gross rent?

It is total payment made by cultivator to land owner, It includes the payment of reward of land, interest of capital, wages of extra labour, depreciation allowance etc.

3. Write down three assumptions of "Ricardian Theory" of Rent?

Perfect competition, Pre- knowledge of fertility of land, application of law of decreasing returns.

4. Point out four short comings of Ricardo Theory.

False assumption of pre-knowledge of land, power of the soil are neither original nor indestructible, no rent land, un-acceptable interpretation of law of decreasing returns.

5. Explains the concept of "Quasi Rent"?

It is an additional income which arises due to short supply of any factor other than land in the short period" This increase is temporary. It is exhausted when in the long-run the supply of that factor is increased.

6. What is scarcity rent?

Supply of land is limited, in- elastic and fixed with respect to demand for land, thus, rent has to be paid to land owner for it's use, being scarce and limited.

7. Define the concept of "Differential rent"

Differential rent arises due to the difference in the fertility and productive capacity of various categories of land. It is also known as situational rent. The land situated near big cities, motorways, important commercial areas gives more rent than others. The difference between them is known as differential rent.

8. Describe modern Theory of Land?

Rent of land is determined keeping in view the point of equilibrium between demand and supply of land.

9. Define rent in Ricardo's own words?

Rent is the part of product paid to the land owner by the cultivator for it's use due to the original and indestructible powers of the soil"

10. Define the concept of Marginal Land?

Marginal land is that category which does not yield any rent. It is regarded as no rent land. It is the most inferior land which hardly covers its cost.

PART – II

1. Discuss different kinds of rent.
2. Explain and critically examine Ricardo's theory of rent.
3. Explain Modern theory of rent.

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(ii) WAGES

DEFINITION AND MEANING OF WAGES

The part of National income given as the reward for the services of labour is known as "wages".

Simply we can say that wages are those material payments (in cash or kind) which are paid to any person in return of his / her mental or physical exertion.

MAIN POINTS:

- (i) By material payments means payments made in cash, kind, and goods e.g. Rs.4000/- per month 20 Bags of wheat per year. Rs.300/- per day etc.
- (ii) The exertion may be physical such as by field worker, carpenter factory worker, mason etc or it may be mental e.g. services of a teacher, a lawyer, a judge, a clerk, a doctor etc. Thus, wages also include salaries, fees, commission, royalties etc.
- (iii) Wages are related with time factor and may be paid per hour, daily, weekly, monthly or annually.
- (iv) Sometimes wages are paid for the amount of work done. For example, Rs.300/- per ploughing one acre of land Rs.5000/- for white washing and paint work of a house etc.
- (v) Wages are paid per agreement or contract between employees and employers.

KINDS OF WAGES

1. NOMINAL OR MONEY WAGES:

The amount paid in "cash form" to a person as a reward of his services rendered during a specific period is known as nominal or money wages. This may be per hour, per day, per month and so on e.g. Rs.200/- per day of a labourer, Rs.30,000/- per month of a doctor etc.

2. REAL WAGES:

When we include in nominal wages, all other facilities available to the worker in the form of goods or services, we arrive at real wages. Other facilities may include free accommodation, free medical treatment, telephone, conveyance with driver, cook, attendant etc.

Thus real wages = Nominal wages + All other facilities in the form of goods or services.

The standard of living of workers of a community is judged in view of real wages and not from nominal wages earned by them.

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DETERMINATION OF REAL WAGES

1. PURCHASING POWER OF MONEY

Real wages are influenced by changes in the purchasing power of money. Actually it is the price level which determines the purchasing power of money. The higher the level of prices the lower the purchasing power of money will be and vice versa. While money wages remaining constant, a rise in prices will cause a fall in real wages and a fall in prices will encourage real wages.

2. CHANCES OF SUBSIDIARY INCOME:

If a person has opportunities of earning extra income through his profession, then his real wages will be higher than the other having no such opportunities. A college lecturer can get extra income by Tution fee, marking board or university examination papers, writing books or delivering lectures at other institutes. Similarly, a doctor can earn extra amount through private practice after his job duties. While a magistrate or judge cannot do so. Thus real wages are higher in those professions where chances of extra earnings are available.

3. WORKING CONDITIONS:

In those occupations real wages are higher where working conditions are better, easy, peaceful, neat, clean and pleasant. Some persons have to work in fields and factories where they have to face congestion, dirty atmosphere, leakage of chemicals, danger of accidents, life risk, swere hot or cold weather etc. If under both situations nominal wages are equal, but real wages are less under hard conditions than those of under soft and easy conditions.

4. WORK HOURS:

Some people work for a few hours per day while, working hours of other persons are longer. For instance an office clerk works for 8 hours daily, while a watchman's duty is for 24 hours. Similarly, a factory worker work for 8 hours while a field worker is their for 24 hours. A professor's class work is from 2 to 3 hours per day, while a Magistrate or a judge is to remain in his officer for 8 to 10 hours per day. Thus the real wages are higher in the professions/fields where work hours are short than the workers performing long hours duties.

5. NATURE OF JOB (TEMPORARY OR PERMANENT)

Real wages are less for those workers having risky and un-certain jobs, while those enjoying permanent jobs feel security and better future. If nominal wages are equal even then a person with permanent job will be earning higher wages than the person with temporary job.

6. CHANCES FOR PROMOTION:

A person having good prospects and rapid chances for promotion in future will be earning higher wages than a person who has very slow or no promotion chances. Similarly, for a person working in public sector where facilities of pension, G.P. Fund, gratuity etc. after retirement are available real wages will be higher although current salary is equal to the non-pensionable job.

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7. ADDITIONAL FACILITIES:

If two persons receive equal money wages but one of them is getting free accommodation, conveyance, attendant, driver, telephone, medical facilities children education etc. then his real wages will be higher than the other who is deprived of all these facilities.

8. EMPLOYEE / EMPLOYER RELATIONSHIP:

Better relationship between both the parties, encourages healthy and friendly atmosphere, resulting mental satisfaction with the feeling of more gains, on the other hand, mis-understanding and clash between employers and employees badly effects mental satisfaction and physical efficiency resulting the feelings of lower wages.

9. EXPENSES REGARDING JOB:

Some jobs need more expenses on education, training, required equipment e.g. a doctors educations, clinical and surgical equipments and paramedical staff need more money for these expenses, the higher these expenses the lower real wages will be. If there are two persons with equal nominal wags, the real wages for the person with less period of education and cost is higher than the other with more expenses for his job. It means that expenses regarding jobs are inversely related with real wages.

10. SOCIAL STATUS:

The job in a department with more importance in society commands higher real wages than the profession of less importance. In Pakistan nominal wages of a lecturer and a civil judge may be equal but due to better social status real wages of a civil judge will be considered higher than of a lecturer. In our society a "Patwari" commands more respect and higher real wages than a factory worker with the same nominal wages.

11. PRODUCTIVE CAPACITY:

Productive capacity of a worker also influences real wages. A more efficient worker will be having higher demand and more real wages than a sluggish and less efficient workers.

THEORIES REGARDING WAGE DETERMINATION

In this respect different theories have been introduced by different economists but following two theories are of paramount importance w.r.to the determination of wage rate.

1. MARGINAL PRODUCTIVITY THEORY:

This is the general principle of distribution of national income among various factors of production. As labour is also an important factor in the production process, thus it receives it's reward in the form of wages equal to it's marginal product. Which means that $MRP = \text{wage rate}$. By marginal product is meant addition in the total product due to introduction of an extra unit of labour in the production process.

Note: [Marginal Productivity theory has been explained in the beginning of Chapter 13 of the Book]

Here we simplify it's assumptions and points of criticism:

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ASSUMPTIONS:

1. All units of labour are homogenous.
2. Perfect competition in labour and product markets.
3. Perfect mobility of labour from one place to the other and from one profession to the other for higher reward.
4. Elastic supply of labour.
5. Application of the "law of decreasing returns" on production process.

CRITICISM

1. All units of labour cannot be equal in every respect. There is difference of education, skill, experience, efficiency etc.
2. Perfect mobility of labour is not possible.
3. Conditions of perfect competition are hardly fulfilled in labour or any other market.
4. It is not necessary that the law of decreasing returns is always operative in productive activities.
5. Supply side of labour has been ignored. While, in reality demand and supply both forces play an equal role in the determination of wage rate.
6. Difficulty is determining the marginal product of labour separately.

2. DEMAND AND SUPPLY THEORY

(MODERN THEORY)

According to the modern theory wage rate is determined by the demand for and supply of labour just as the prices of goods are determined by the equilibrium point of their demand and supply forces.

The only difference is that the demand for goods is direct while, the demand for labour is 'indirect' and 'derived'.

DEMAND FOR LABOUR

As the demand for labour depends upon the demand for goods and services, thus the more the demand for goods, the higher will be the demand for labour and vice versa. The factors upon which demand for labour depends are:

1. MARGINAL REVENUE PRODUCT (MRP_L)

The demand for labour will rise with the increase in its marginal product and vice versa. Marginal labour unit will stop where marginal product = wage rate ($MRP = W$).

2. ELASTICITY OF DEMAND FOR GOODS:

If the demand for goods is more elastic, the demand for labour will also be more elastic and vice versa.

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3. DISCOVERY OF MODERN AUTOMATIC MACHINE:

With the availability of modern automatic machines, the need and demand for human labour decreases as both are substitutes of each other.

4. PRICES OF OTHER FACTORS OF PRODUCTION:

As machines are the substitutes of human labour thus with the increase in the prices of capital goods, e.g. machines, equipment etc. the demand for human labour will rise and vice versa.

5. REAL WAGES:

Demand for labour is a decreasing function of real wage rate (w). Thus both are inversely related with each other and labour demand curve is negatively sloped.

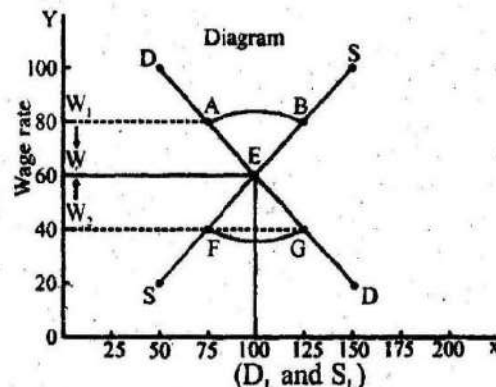
SUPPLY OF LABOUR

The supply of labour represents the number of labourers willing to work at a specific wage rate. It can be explained as under:

1. From a firm's point of view labour supply is more elastic.
2. From an industry's point of view labour supply is less elastic.
3. From the point of view of whole economy, labour supply depends upon following factors.
 - (a) Size and composition of population.
 - (b) Ratio of total labour force and % of women participation.
 - (c) Rate of population growth and un-employment rate.
 - (d) Efficiency, education and mobility of labour force.
 - (e) Wage rate and labour supply are directly related with each other. Hence, labour supply curve is positively sloped.

Schedule

Demand for Labour (DL)	Labour supply (SL)	Wage rate (w)
50	150	100
75	125	80
100	100	60
125	75	40
150	25	20



EQUILIBRIUM WAGE RATE:

In the above schedule $D_L = S_L(100)$ at $W = 60$

In the diagram wage rate OW (60) is determined at point E , where demand for labour curve DD intersects supply of labour curve Ss . No other wage rate will be determined.

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

Suppose $OW_1(80)$ is the wage rate. Here supply of labour (S_L) > (D_L) demand for labour as indicated by AB. Wage rate will tend to fall towards equ. level (OW). On the other hand, suppose wage rate falls to $OW_2(40)$ supply of labour will decrease while the firms are willing to hire more workers. Shown by F.G.. Thus the wage rate will increase upto OW (the equ. Wage rate).

CRITICISM

1. Assumptions of the theory e.g. perfect competition identical units of labour etc. do not prove true in the real life.
2. Labour is a perishable item and if un-used it cannot be stored like other goods. It is perished with the passage of time.
3. Laborer is a living and sensible creature. He cannot be treated like any other commodity. Thus the reward for labour (wages) cannot be determined like other normal goods prices.

CONCEPT OF MINIMUM WAGES

A minimum wage limit is determined by the Govt. to eradicate exploitation of labourers by entrepreneurs. Moreover, the consideration is also to improve financial conditions of the labourers. Thus we can say that: Minimum wage is the "standard rate" of receipts by labourers fixed by the government below which the payment to a labourer is considered as an offence. The minimum wage rate may be fixed for some specific industries or the economy as a whole.

While fixing minimum wage rate following things are kept before: (i) Efficiency of labourers (ii) Marginal productivity of labour (iii) General price level (iv) Nature of work (v) Job conditions etc.

This level is not fixed for ever. It may be changed in view of the fluctuations in the price level and economic conditions of the country.

MERITS:

1. Eradication of workers exploitation.
2. Assurance of minimum reasonable standard of living.
3. Increase in efficiency and productivity of labour.
4. Better working relationship between employees and employers.
5. Economic justice, due to social and political favourable atmosphere.
6. It reduces labour un-rest and encourages peaceful conditions.

DE-MERITS

1. Increase in the price of goods.
2. Discouragement of more efficient workers.
3. Danger of un-employment.
4. Difficulty in determination.
5. Difficulty in implementation.

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

OBJECTIVE QUESTIONS

Select and tick (✓) right answer.

1. What is the shape of long-run labour supply curve.
(a) Vertical on x-axis (b) Horizontal of x-axis
(c) Negatively sloped (d) Positively sloped
2. Which is the minimum wage level:
(a) Attained due to efforts of trade union.
(b) Entrepreneurs are legally bound to pay it.
(c) Entrepreneurs cannot pay more than this level.
(d) Which can provide basic necessities to the labourers
3. Wages paid in cash form are known as:
(a) Real wages (b) Nominal wages
(c) Minimum wages (d) Additional wages
4. In Pakistan "Minimum wage standard" is applied:
(a) Not at all (b) In full spirit
(c) To some extent (d) Upto a large extent.
5. When Govt. of Pakistan formed first time a regular policy for labour security.
(a) 1947 (b) 1952 (c) 1955 (d) 1972
6. Due to increase in inflation rate:
(a) Labourers are beneficiaries
(b) Labourers are loser
(c) No effect upon purchasing power of the labourers
(d) Real wages increase
7. According to Modern Wage theory when supply of labour (S_L) becomes less than labour demand (D_L) ($S_L < D_L$) then:
(a) Wage rate falls (b) Wage rate rises
(c) No change in wage rate (d) Un-employment increases
8. When nominal wage of a doctor and a civil judge are equal who will earn more real wages
(a) Doctor (b) Civil judge (c) None of these (d) Both
9. Which one of the following cannot be stored:
(a) Potato (b) Raw material (c) Human labour (d) Machines
10. When entrepreneurs disallow labourers to work, it is called:
(a) Lock up (b) Strike (c) Un-employment (d) Walk out
11. What kind of relationship is found between real wages and labour supply
(a) Positive (b) Negative (c) Constant (d) No relationship
12. When the legislation of social security and minimum wage level became applicable in Pakistan.
(a) 1959 (b) 1911 (c) 1963 (d) 1965

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DESCRIPTIVE PART – I

SHORT NOTES

1. How wage can be defined?

Wages are those material payments in cash or kind which are paid to any person in return of his/her mental or physical exertion. Salary of a professor, daily payment to a worker, fee of a doctor, pay of a factory labourer etc.

2. What is Nominal Wage?

The amount paid in "Cash form to a person as a reward of his services rendered during a specific time period e.g. Rs. 200 per day of a labourer.

3. Describe four important factors of real wages?

Purchasing power of money, Other facilities to the workers, work hours, Nature of job.

4. Define the concept of Minimum wage level?

Minimum wage rate limit is determined by Govt, to eradicate exploitation of labourers by entrepreneurs and to improve their financial conditions. It is determined in view of inflation rate, purchasing power of the money etc.

5. Bring out difference between "Nominal" and "Real Wages"?

Cash amount paid to a person as a reward of his/her services are called nominal wages whereas; nominal wages, and all other facilities available to worker in form of goods and services; are included in real wages.

6. Point out difference of labour supply between a firm and an industry?

Labour supply is more elastic in firm's point of view whereas; labour supply is less elastic in industry's point of view.

7. Bring out relationship between real wages and demand for labour?

Demand for labour is a decreasing function of real wage rate (w). Both are inversely related with each other. $N_d = f \frac{W}{P}$ OR $N_D = f(w)$

8. Describe three important factors of demand for labour?

Marginal revenue product (MRP), Real wages, Discovery of modern automatic machine.

9. What is the difference between demand for labour and demand for other goods?

The only difference is that, demand for goods is direct while, the demand for labour is "indirect" and "derived".

10. Bring out three shortcomings of modern theory of wages?

- (i) Assumption of the theory are un-realistic
- (ii) Labour is a perishable item.
- (iii) Wages cannot be determined like other normal goods.

PART – II

- 1. Describe the determinants of real wages.
- 2. Explain "Marginal Productivity Theory of Wages."
- 3. Explain Modern Theory of Wage determination.



ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

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(iii) INTEREST

MEANING OF INTEREST

Capital as a factor of production plays a very crucial role in the production process of the economy. It may be in the form of machines, equipment, tools, buildings raw material etc. OR in the shape of cash money and bank loans. The reward given to capital out of national income as a factor of production is known as "interest" in economic terms.

Interest rate is always related with time period e.g. 10% or 15% per annum.

KINDS OF INTEREST

There are two types of interest.

1. NET INTEREST:

It is purely related with the use of capital as a factor of production. No other payment is included in it. Generally, we can say that net interest is the reward paid to the lender only for the use of money capital borrowed. Very simply, net interest is the price for use of capital.

2. GROSS INTEREST:

Sometimes other payments are included in net interest e.g. reward for risk uncertainty, recovery problems etc. Thus over all amount including all such payments generates gross interest.

Following rewards are included in gross interest:

- (a) Net Interest: Reward of capital as a factor of production.
- (b) Risk taking benefits: There is a lot of risk involved in the recovery of loans e.g. loss in business of borrower, refusal to return money, death or accident of borrower etc. Thus, the lender charges some extra amount to cover such risks. These receipts become the part of gross interest.
- (c) Reward for pains taking for recovery: Sometimes lender faces practical difficulties and real pains for recovery. To face such difficulties the lender charges higher return over and above net interest. IN this sense interest becomes gross. Such charges may include the follow up of borrower, telephone and transport expenses, to file case in the court against the borrower, legal advisor's fee etc.
- (d) Account maintaining expenditure: To maintain the account of loans to different borrowers, the lender has to employ an expert accountant who is paid regularly. Price of stationery, rent of the building and other administrative expenses are also paid by the lender. Thus the extra charges from the borrower to meet such expenses become the part of gross interest.

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HENCE:

Gross Interest = Net Interest + Risk taking benefits + reward for pain taking for recovery + Account maintaining expenses.

WHY INTEREST IS PAID?

In pure Islamic Economic System "Interest" is totally prohibited, rather it has been declared "Haram".

But in a capitalistic economy "Interest" is considered as the "Pivotal point" as no business activity, industry, trade, commerce etc. can go ahead without capital. Thus the reward of capital for its use may be given to its owner / lender. There are many reasons and theories, which explain why interest is paid.

1. PRODUCTIVITY THEORY:

As capital enhances the productivity of other factors e.g. land, labour etc. Thus interest is paid due to productivity of capital. It means that a worker can produce more with the use of capital than without it. Take the case of a tailor working with "sewing machine" and without it. Performance of a cultivator while ploughing land by "using a Tractor" and "without a tractor".

Growing crops with the use of fertilizer, tubewell, spray for insects and without these facilities which are provided by the capital. Thus when capital increases production it must be paid for it, which is regarded as "interest".

WEAKNESSES:

1. Borrower has to pay interest even under loss.
2. Interest is also paid on loans for unproductive (consumption) purposes.
3. It is difficult to calculate the share of capital out of productive activities, as it is the result of combined efforts of all factors of production.

2. ABSTINENCE OR WAITING THEORY:

According to this theory of Prof. Robbins Capital is mainly formatted through savings. For this purpose people have to postpone current expenditure on consumption goods. Thus some extra amount is necessary to induce people to make sacrifice and save.

Alfred Marshall called it "waiting" as according to him a person who saves has to wait for its use in future. Interest is paid to encourage the people for this "waiting".

WEAKNESSES:

1. Rich people do not feel any "pain" while saving but they receive interest.
2. Some people easily fulfill their current normal consumption needs and due to saving do not need "waiting".

3. TIME PREFERENCE THEORY:

It represents the ideas of Bohm Bawerk. According to him people prefer present needs and goods to future goods. The reasons being: (i) Present needs are more attractive and

ECONOMICS (EM) NOTES FOR 1st YEAR CLASS (PUNJAB)

have great pleasure than future wants. (ii) Future is un-certain and un-predictable. Prices may rise in future and purchasing power of money may decrease. Thus extra money in the shape of "interest" must be added in it, to maintain its purchasing power.

WEAKNESSES:

1. Some people want to make their future safe and secure.
2. This theory explains supply side only while demand for capital is ignored.

HOW RATE OF INTEREST IS DETERMINED

Following theories are important in this respect.

1. MARGINAL PRODUCTIVITY THEORY:

This theory is related with the pricing of factors of production. As capital is also an important factor of production thus its reward (interest) is determined in view of its marginal product. The marginal unit of the capital represents the additional or last unit in the business concerned. While discussing this theory all assumptions already discussed under it must be kept in view e.g. perfect competition, identical units of capital, application of law of decreasing returns etc.

CRITICISM:

1. Assumptions are not true: such as:
 - (a) All units of capital may not be homogenous.
 - (b) No perfect competition among capitalists.
 - (c) Application of law of decreasing return not necessary from the start.
2. It is difficult to calculate separately the marginal product of the capital.

2. LOANABLE FUND THEORY:

This theory was presented by the economists of neo-classical school of thought. According to them rate of interest is determined at the equilibrium level of demand for and supply of "loanable funds". Simply these "funds" are involved in lending borrowing process. Thus this theory explains that interest is the reward paid for the use of loanable funds.

FACTORS DETERMINING THE SUPPLY OF LOANABLE FUNDS:

1. INDIVIDUAL (PERSONAL) SAVINGS:

The savings depend upon (i) the willingness to save and (ii) power to save. These depend upon the amount not spent upon house-hold goods Thus: $s = y - c$. Mostly these are deposited with the banks.

2. CORPORATE SAVINGS:

Business units do not distribute the whole profit among share holders but retain some profit for future investment or depreciation of machinery. These are regarded "corporate savings."

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3. PUBLIC SAVINGS:

The "surplus budget" and amount supplied through central bank also increase the supply of these funds:

4. HOARDING:

When the amount kept in the form of hoardings is available for utilization and advancing loans, the supply of loanable funds increases.

5. BANK CREDIT:

"Creation of Credit" process of the commercial bank is a big source of supply of loanable funds.

6. PREMIUM OF INSURANCE COMPANIES:

The amount received through premium of insurance companies also increases the supply of loanable funds.

All above factors contribute towards "Aggregate Supply" of loanable funds. As there is direct and positive relationship between interest rate and supply of loanable funds, thus the loanable fund supply curve is positively sloped.

FACTORS DETERMINING THE DEMAND FOR LOANABLE FUND

The sum of following separate demands contribute towards "the Aggregate demand" for loanable funds.

1. INVESTMENT PURPOSES:

Some people demand funds for investment in various business units. It is inversely related with the rate of interest. Higher rate of interest discourages such investment and vice versa.

2. CONSUMPTION PURPOSES:

Some people borrow from these funds to meet the day to day requirements for household goods. A lower rate of interest encourages such demands.

3. PUBLIC PURPOSES:

Government can also borrow funds for different purposes e.g. to meet the budget deficit, for social welfare of the public, for economic development projects or under emergency (earth quack, scarcity of food, diseases, floods etc.) Foreign Governments can also borrow funds.

4. HOARDING UNDER ABNORMAL CONDITIONS:

Sometimes under abnormal circumstances, people increase demand for such funds.

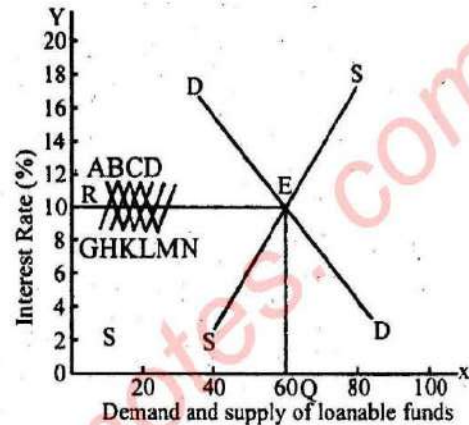
Aggregate demand for funds is inversely related with the rate of interest. Thus Aggregate demand for funds curve is negatively sloped falling from upward to downward and left to right.

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DETERMINATION OF INTEREST RATE

Rate of interest is determined where Aggregate demand for and Aggregate supply of loanable funds become equal. It is shown as under.

Rate of Interest (%)	Supply of Loanable funds (Rs. Millions)	Demand for loanable funds Rs. Millions
14	100	20
12	80	40
10	60	60
8	40	80
6	20	100



EXPLANATION:

In the schedule supply of loanable funds and demand for loanable funds are equal (60 millions Rs.) at 10% rate of interest.

In the diagram x-axis represents demand for and supply of loanable funds. While interest rate is measured along y-axis. The sum of all the sources of supply (G, H, K, L, M, N,) represents SS (Aggregate supply curve of loanable funds). While Agg. Demand curve for loanable funds DD has been drawn in view of the sum of all the factors of demand (A, B, C, D).

Both demand (DD) and supply (SS) curves of loanable funds intersect each other at point E, which is the equilibrium point. At point E (60 million Rs.) QE is the demand for and supply of loanable funds, while OR (10%) is the rate of interest determined by these forces (Demand and Supply).

3. LIQUIDITY PREFERENCE THEORY:

This theory regarding the determination of interest rate was introduced by J.M. Keynes. According to Lord Keynes rate of interest is determined at the point where supply of money and demand for cash (liquid), money become equal. People want to keep some part of their income in the form of cash money (liquidity preference) with them for different motives.

According to Lord Keynes following motives are behind liquidity preferences for which people prefer to hold money in cash form.

MOTIVES BEHIND DEMAND FOR CASH MONEY OR MOTIVES OF LIQUIDITY PREFERENCE.

- (i) Household motive (ii) Business motive
- (iii) Emergency motive (iv) Speculative motive.

A brief description of above mentioned motives.

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(A) HOUSEHOLD MOTIVE:

Every household needs to hold cash for day to day requirements. For instance people have to purchase wheat, ghee, vegetables, fruit, meat, bakery items etc. They have to pay house rent, electricity bill, telephone bill, children school / college fee and many more expenses. For the satisfaction of all these human wants they keep some cash money with them.

(B) BUSINESS MOTIVE:

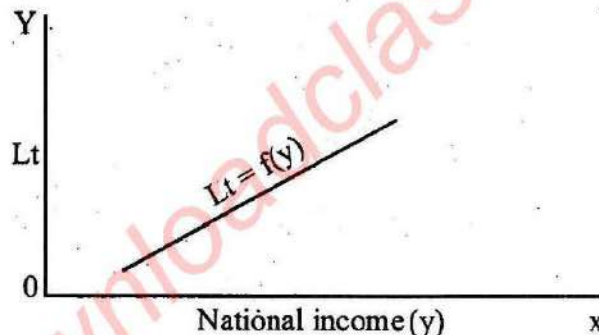
Businessmen keep cash money with them to meet their immediate requirements, such as, payment of raw material, wages, transportation cost, wear and tear of machines, taxes etc.

(C) EMERGENCY MOTIVE:

Some people are very careful and cautious about un-certain and unforeseen future emergencies e.g. Accident, illness, war, floods, earthquakes, un-employment etc. They prefer liquidity to meet such emergencies.

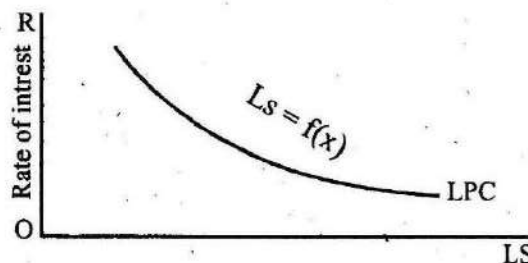
When the above mentioned motives of demand for cash money are put together they are named "Transaction demand for money" (L_t or M_{td}).

The amount held for transaction purposes is directly related to National income. Thus there is +ive functional relationship between L_t and y . It means that $L_t = f(y)$, (an increasing function) showing positive slope of "Transaction demand for money curve" as shown in the diagram.



(D) SPECULATIVE MOTIVE:

Some people keep assets in liquid form to earn benefits in future due to changes in prices of bonds, govt, securities, debentures, shares of joint stock companies, etc. in the stock exchange market. Demand for liquid money for speculative motive is related with the rate of interest. There is decreasing functional relationship between rate of interest (i) and speculative demand for money (L_s or M_{sd}). Thus liquidity preference curve (LPC) is negatively sloped.



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$$\text{As } L_s = f(r) \quad \text{OR} \quad M_{sd} = f(r)$$

Thus the total demand for cash money (liquidity preference).

$$M_d = L_t + L_s$$

SUPPLY OF MONEY:

Supply of money represents the total quantity of money in the economy during a specific time period. It depends upon following factors.

(a) Availability of Metal:

Some coins of metals are included in money. While some precious metals such as gold, silver are kept in Reserve for issuing currency notes under banking principle. Thus the quantity of money may be increased with more availability of metals and vice versa.

(b) Central Bank's Policy:

The central bank of a country has monopoly over issuing currency notes in the economy. Moreover it plays the role of a custodian of money market. Thus central bank is responsible to control money supply in the country.

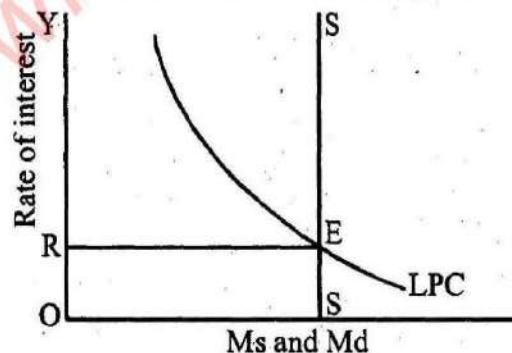
(c) Velocity of Circulation of Money:

Money supply increases with higher velocity of circulation and decreases with lower velocity of circulation.

According to Keynes in short period the above mentioned factors do not change at large. Thus the fluctuations in money supply (M_s) are ignorable and it is regarded as constant. (M_s) S_s curve remains vertical upon x-axis.

DETERMINATION OF THE RATE OF INTEREST

According to Lord Keynes, rate of interest is determined at the equilibrium point of money supply and liquidity preference as shown in the diagram.



EXPLANATION:

In the diagram LPC and money supply curve SS intersect each other at point E, which is the equilibrium point. At this point rate of interest is OR which will prevail in the market. If (r) is lower than this $LPC > MS$. When (r) is more than OR $LPC < MS$.

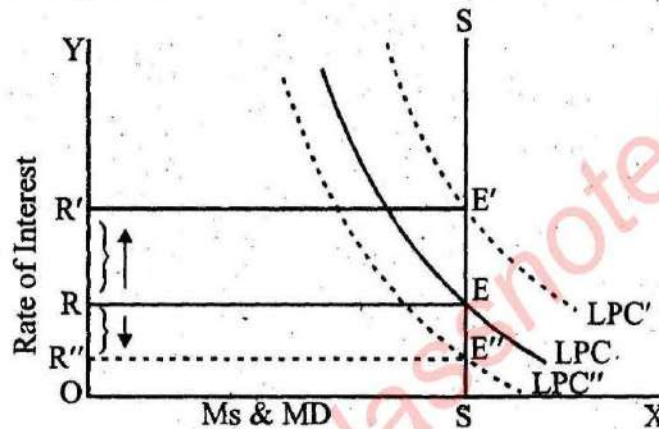
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CHANGES IN THE RATE OF INTEREST

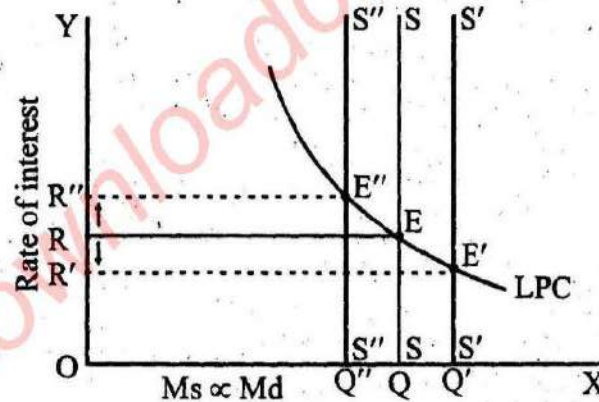
Explanation:

Original rate of interest is OR which is determined by equilibrium E. Now MS (SS) remaining the same when due to rise in liquidity preference LPC shifts upwardly intersecting SS curve at E' OR moves upward as OR'. On the other side when LPC" shifts downward E" becomes equilibrium point showing a decrease in rate of interest as OR".

1. MS (SS) remaining the same but an increase or decrease in Md (LPC).



2. NO change in LPC but a rise or fall in money supply (SS)



Explanation:

Original equilibrium point is E which shows OR rate of interest. When due to increase in money supply S'S' curve shifts right to SS, new equ. Point becomes E' which shows a fall in the rate of interest from OR to OR'.

Due to decrease in money supply while LPC remaining the same S''S'' shifts towards left showing a rise in interest rate (r) from OR to OR".

LIMITATIONS OR SHORT COMINGS

1. Keynes has not discussed the reasons and role of saving in his theory. While the

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funds and amount borrowed by the needy, mostly depend upon savings.

2. It is a short run theory, while long run has been ignored under which money supply may fluctuate.
3. While explaining the liquidity preference theory, Keynes is not clear about money supply. Sometimes he includes credit money in it while at other times he ignores it.
4. Keynes has not taken into account the effects of demand for investment funds in the determination of the rate of interest.

CONCEPT OF ZERO RATE OF INTEREST

Concept of interest has been controversial since long. Mainly there are two schools of thought having different opinion regarding the meaning and justification of interest:

1. UNDER CAPITALISM AND MIXED ECONOMY:

Under such an economic system, the concept of interest is discussed purely from economic point of view. It is considered the main player in the economic and business activities of the system. The economists are not in favour of Zero interest rate due to following reasons.

- (i) Interest is the reward for the services of capital which is scarce and productive. Just the reward of other factors of production e.g. rent, wages etc. Some price in the form of interest has to be paid to the owner of capital.
- (ii) While saving people keep before them the rate of interest. As savings are invested thus the rate of capital formation is accelerated through savings. Some incentive must be given to the individual as well as corporate bodies to encourage savings otherwise the volume of investment will decrease and there may be the danger of depression in the economy.
- (iii) The decisions regarding liquidity preference (demand for cash money) are taken in view of the interest. The lower the interest rate, the higher the liquidity preference and vice versa. In the presence of zero interest rate such decisions will become very difficult.
- (iv) Interest rate is a very useful tool for proper distribution of savings for different uses. Decisions of investment in more beneficial projects is taken in view of the rate of interest. While at zero interest rate the problem regarding the choice of business is created. There is every possibility that savings may be invested in low profit oriented fields.
- (v) As equilibrium of national income at full employment level requires equality between real savings and real investment. Which depends upon the elasticity of interest rate, because any un-equilibrium situation may be tackled with the rise or fall in the rate of interest. If interest rate is declared zero, disequilibrium may create inflationary or deflationary situation in the economy. Which will become very difficult to be controlled. Keeping the above points in view, we can say that according to Economists there is no possibility of zero interest rate in the 'economy'.

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2. UNDER ISLAMIC ECONOMIC SYSTEM:

Islam presents the true concept of a "welfare state". The teachings of Islam are related with Moral, social, cultural, political and economic values of the society. It stresses upon equality justice, sacrifice, brotherhood, goodness and Ehsan, austerity / self contentment and discourages concentration of wealth and wasteful consumption, ostentation and hoarding, exploitation of labourers, overburdening the poor and needy etc.

Islam has strictly prohibited charging of interests; rather it has been declared "Haram". Quran-e-Pak forbids "interest charging" at different occasions e.g. in Sura-e-Al-Baqra and Sura-e-Aal-e-Imran, God the almighty has insued warning against the people charging interest. God "deletes interest and enhances sadquats." If, you do not depart with the interest, then get ready for war against Allah and His Prophet Muhammad (Peace be upon him).

Islam has given many better alternative methods to enhance economic and business activities in the absence of "Interest."

1. QURAZ-E-HASANA:

Islam teaches brotherhood and simphy with each other. Thus if, due to some reasons some people have accumulated huge wealth or money, they should give it others who are poor and needy without interest as "Quraz-e-Hasana." They should wait for recovery until those are in position to return.

2. INTEREST FREE BANKING:

Some banks of Islamic countries carry out "interest free" activities. In Pakistani Commercial banks profit and loss sharing accounts (PLS A/c) provide profit / loss to the customers instead of "interest Banks invest in profitable projects and allocate profit on 6 months basis of the time of closing (30 June & 31 December).

3. MUDARABA OR JOINT STOCK COMPANIES

In an Islamic society savings are properly distributed in different business units in view of profits rather than interest rate. As "Mudaraba" and "Musharaka" companies will be established in those fields expecting high profits.

4. PARTNERSHIP WITH ENTREPRENEURS:

A very clear and fair formula has been introduced regarding the return of capital in Islamic economy. If, the owners of capital invests his capital in some business by giving it to others who manage the business. Here, no rate is fixed for return, rather he is equally responsible with the entrepreneurs for profit or loss. If, there is profit both parties will share it but under loss owner of the capital will face the responsibility. While other party entrepreneurs and labourers will lose their efforts and labour.

5. USE OF OTHER METHODS.

If there is in-equality between saving and investment resulting inflationary or deflationary situation in the economy. There are several other method to control it except "interest rate". Fiscal policy Budgetary policy. Some other tools of monetary policy e.g. OPO, RR etc. Price control or Price support policy and so on.

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OBJECTIVE QUESTIONS

Select and tick (✓) the right answer.

1. Which one of the following is included in gross interest.
(a) Rent of the land (b) Profit of the entrepreneur
(c) Administrative expenses (d) Transportation cost.
2. What position interest commands in a modern capitalistic economy.
(a) Primary (b) Secondary
(c) Central (d) No position
3. Which relationship is indicated by the liquidity preference curve.
(a) $C = f(r)$ (b) Consumer and entrepreneurial
(c) $MS = f(r)$ (d) $LS = f(r)$
4. Which one is the new-classical theory regarding determination of interest rate.
(a) Time preference theory (b) Liquidity preference theory
(c) Loanable Fund theory (d) Productivity theory
5. Who presented the liquidity preference theory.
(a) Alfred Marshall (b) Lord Keynes
(c) Pigou (d) J.S. Mill
6. Point out the slope of liquidity preference curve (LPC).
(a) Negative (b) Positive (c) Vertical (d) Horizontal
7. How for LS curve (speculative demand for money) is elastic at minimum interest rates.
(a) Less elastic (b) More elastic
(c) Zero elastic (d) Perfectly elastic (Infinite elasticity)
8. Who introduced Abstinence or writing theory.
(a) Pigou and canon (b) Keynes and Robbins
(c) N.W. Senior and Marshall (d) Clark and Hicks
9. Which depends upon un-certain conditions
(a) Rate of interest (b) Savings
(c) Marginal efficiency of capital (MEC) (d) Efficiency of machines
10. $LS = f(r)$ indicates the functional relationship as:
(a) Increasing (b) Decreasing
(c) Constant (d) Not functionally related.

DESCRIPTIVE PART – I

SHORT NOTES

1. Define Net Interest?

The reward paid to the lender only for the use of money capital borrowed. Is known as net interest.

2. What is gross interest?

When some other payments are included in net interest e.g. reward for risk of uncertainty, recovery problems etc. is called gross interest.

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3. Why interest is paid?

Interest has a pivotal role in capitalistic economy though declared "haram" in Islam. But many economists are of the view that capital enhances productivity that's why interest is paid for it.

4. How rate of interest is determined under loanable fund theory?

Rate of interest is determined where aggregate demand and aggregate supply of loanable funds become equal.

5. Which factors determine the supply of loanable funds?

- Individual savings
- Corporate saving
- Public Savings
- Hoarding
- Bank Credit
- Premium of insurance companies

6. Describe the determinates of demand for loanable funds?

- Investment purposes
- Consumption purposes
- Public Purpose
- Hoarding under abnormal condition

7. What are the motives behind liquidity preference according to the Keynes?

- Household motive
- Business motive
- Emergency motive
- Speculative motive

8. What determines money supply volume in view of Keynes?

- Availability of Metal
- Central Bank's policy,
- Velocity of circulation of Money

9. What is the importance of interest rate in an Islamic society?

Islam presents the true concept of a "Welfare State" Islam has strictly prohibited charging of interest rather it is declared "Haram"

10. Under mixed economy, point out the role of Zero interest rate?

Interest has a pivotal role in all economic and business activities of the system and there is no concept of zero interest rate in such societies.

PART - II

1. Bring out difference between Net Interest and Gross Interest.
2. Explain "Liquidity Preference Theory" regarding the determination of interest rate.
3. Explain "Loanable Fund Theory".



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(iv) PROFIT

DEFINITION OF PROFIT:

Generally, profit is regarded the difference between total revenue receipts and total cost of production of a business producing unit $\pi = TR - TC$

But in economics the concept of profit is different, "Profit is the reward for the services of entrepreneur as a factor of production".

An entrepreneur / organization takes part in production activities. He combines the services of other factors of production e.g. land, labour and capital to start business. He faces risks in this process. He takes the responsibility of selling produce in the market., distribution of the reward of other factors in the form of rent, wages and interest, payment of taxes etc; whatever is left, becomes the profit of entrepreneur, otherwise loss also becomes his responsibility.

According to Prof. Saligman, "Profit is the reward for entrepreneurial abilities".

KINDS OF PROFIT

(i) Net Profit (ii) Gross Profit

1. NET PROFIT

It is also known as pure profit. Net profit is the reward of entrepreneurial abilities which he shows in managing and running business, facing risks of un-certain future, bearing responsibility of profit or loss. No other receipts are included in it.

2. GROSS PROFIT

Sometimes other receipts / rewards are included in net rent. Under such a situation profit is regarded as "Gross Profit". When following items are included in Net Profit it becomes gross profit.

(i) Rent of Producers own land:

When entrepreneur uses his own land in the business and does not deduct its rent separately of his total profit, it becomes gross rent. As this is the amount which he could get while, renting away his land to any other person.

(ii) Interest of producers own capital:

Sometimes the entrepreneur does not borrow for investment purposes. He uses his own capital in the business. The "interest" of his own capital invested when included in his total receipts, it becomes gross profit.

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(iii) **Reward of producer's own labour:**

Usually many entrepreneurs work as supervisor profit includes the reward of such work because if, they had worked for some other business unit, they must have received wages for their labour.

(iv) **Wind fall gain:**

Sometimes economic, political and business conditions suddenly change in favourable directions for entrepreneurs which results wind fall gain for stockiest e.g. rise in the price of sugar in stock due to ban on import, rise in steel prices due to fault in machinery, obstacles of wheat supply due to floods or political un-rest etc.

(v) **Monopolists gain:**

In the absence of close substitute and competition in the market, the monopolist can charge higher price of his product. It results abnormal profit. As it is not due to entrepreneurial abilities but only gains from monopoly, thus it is included in gross profit.

(vi) **Speculative gain:**

Sometiems entrepreneurs keep some goods in the stock anticipating an increase in their future price. They may create scarcity of some goods in the market. The earnings from such tactics and speculation is included in gross profit.

THEORIES OF PROFIT

Different economists have different opinions with respect to the concept, nature and payment of profit.

Some main theories are:

1. Profit like the rent of land.
2. Profit like the wages of labourers.
3. Reward for Risk bearing.
4. Reward for superior bargaining ability.
5. Dynamic and innovation theory of profit.
6. Marginal productivity theory.
7. Profit and un-certainty.

Here we explain only main and well accepted theories.

1. DYNAMIC / INNOVATION THEORY OF PROFIT.

According to clark and Schumpeter economic world is dynamic. On the one hand changes take place in consumers tastes, habits, fashion, income etc. while on the other side, through innovation new ideas are introduced in the production field. New methods of

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production, awareness about latest knowhow, improved quality of the product, gradation with attractive packing and labels, skill regarding sale may result more profit.

A prudent and foresighted entrepreneur handles these changes skillfully and cleverly. He introduces new techniques and produces new items. He goes on earning profit as long as he maintains his lead in the business and faces no threat in this respect.

2. PROFIT AND UN-CERTAINTY

(PROF. F.H. KNIGHTS THEORY)

Prof. Knight's theory is based upon the un-certainty of future. Actually entrepreneur is bearing risk regarding the production for "future transaction of goods." He depends upon anticipation and guess work regarding the future changes in the demand for his product. There are many un-known and only a few known with respect to the future which is unpredictable, un-certain and risky. Thus the profit is the reward to entrepreneur for his efforts and abilities to bear risk with respect to production and business activities.

Prof. Knight divides risks into two groups:

1. RISK WHICH CAN BE INSURED:

There are some risks which can be insured such as fires, theft, accidents etc. Insurance companies are always working to insure such risks and receive some premium against them. These risks do not generate profit for the entrepreneur.

2. RISKS WHICH CANNOT BE INSURED:

Insurance companies are not prepared to insure some risks. For instance, changes in supply of and demand for the product in the future market conditions, changes in price of domestic and imported goods, change in fashion, habits and income of consumers, foreign investment and international oil crises and so on. The outcome of such circumstances is unforeseen and not insurable. This is the real un-certainty and profit is the reward for bearing it. According to Prof. Knight, "It is un-certainty bearing by the entrepreneur which provides profit to him." The higher the un-certainty the greater the risks and more chance for profit. Perhaps entrepreneurial abilities supported by good luck receive more profit in this respect. Prof. Nevin has also supported the un-certain situation as the main cause of profit.

CRITICISM:

1. Un certainty is not the only factor which causes profit, some other factors e.g. co-ordination among different sectors, innovation in production process, proper planning, anticipation, management and supervision of the business activities also influence profit.
2. The supply of entrepreneurs does not become limited only due to risks created by un-certainty. There are many other social, cultural and economic circumstances e.g. lack of capital, lack of knowledge about investment opportunities, cultural inheritance etc. which affect the supply of entrepreneurs,

REASONS FOR DIFFERENCE IN PROFIT

It has been observed that different entrepreneurs earn different profits under different circumstances. The main reasons in this respect may be given as under:

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1. Difference in entrepreneurial efficiency, ability and skill.
2. Difference of the nature of business.
3. Condition of competition in the market.
4. Business fluctuations; prosperity, Recession or depression.
5. Sudden and un-expected changes in business conditions.
6. Availability of capital.
7. Production techniques, innovation and chances of introduction of modern technology.
8. Business reputation and integrity of the entrepreneurs.
9. Publicity and propaganda. Use of print and electronic media in this respect.
10. Business secrets and dealing tactics.
11. Trade (import) policy of the government.
12. Chances of by-products.
13. Public facilities regarding infrastructure , Tax Concessions, Industrial Zone special package etc.

DIFFERENCE BETWEEN PROFIT AND INTEREST

Profit	Interest
1. Profit is the reward to entrepreneur for his services rendered in business as a factor of production.	1. Interest is the reward given to the owner of capital due to it's role as a factor of production.
2. Entrepreneur starts business, faces risks and un-certainty and then earns profit.	2. Rate of interest is pre-fixed (10%) per annum etc.) and there is no risk involved in it.
3. Profit is the amount received by the entrepreneur after the deduction of rent, wages, interest and other expenses. It depends upon the entrepreneurial abilities.	3. Capital receives it's share as interest. Capital may be in the form of money, raw material, machines, industrial and commercial buildings etc. Owner of the capital has no responsibility of other factors payments.
4. Sometimes entrepreneur faces loss. It means that profit may become negative.	4. Interest is pre-determined and there is no risk of loss.
5. Profit is not related with any specific time period. It may be assessed at different times under different circumstances.	5. Rate of interest and time period are co-related with each other. Interest rate is fixed for a certain definite time period (Normally per annum) e.g. 10%, 15% etc.)
6. Profit may be "Net" or "gross".	6. Interest may also become "net" or "gross"
7. Net profit is the reward for entrepreneurial services and abilities. He accepts the responsibility of loss also.	7. Net interest is the reward for the use of capital given to the owner of capital.
8. Gross profit = Net profit + interest of entrepreneur's own capital + rent of his own land + wages for his own labour.	8. Gross interest = Net interest + Risk taking benefits + Reward for pains taking for recovery + Account maintaining expenses.
9. Sudden change in political or economic conditions may result wind fall gains or	9. Rate of interest is not immediately changed due to sudden changes in

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losses.	economic and political circumstances.
10. Profit may be "Normal" or "Abnormal."	10. Interest is paid according to the agreement already decided between concerned parties.
11. Profit may be earned while facing uncertain conditions.	11. According to Keynes interest is determined where $M_s = L_p$ (Liquidity preference).
12. Entrepreneurs take interest in innovation, discovery of new methods and modern techniques of production.	12. Changes in the rate of interest have no effect upon production, techniques and discoveries.
13. Islamic economic system allows profit upto a certain reasonable limit where there is no exploitation of labourers.	13. Islam has totally forbidden interest receipts, rather it has been declared "Haram".
14. Profit may differ in different enterprises due to difference of entrepreneurial efficiency and ability, production techniques, publicity and propaganda and nature of risks and uncertainty.	14. Publicity and propaganda has least effects upon interest rate. It may differ in view of short and long period of time.

OBJECTIVE QUESTIONS

Select and tick (✓) the correct answer.

- Who has given the justification of "profit".
 (a) Prof. Senior (b) Lord Keyner
 (c) Alfred Marshall (d) Deven port
- Who said that profit is a compulsory part of cost.
 (a) Ricardo (b) Crowther (c) A. Marshall (d) J.B. Clark
- The interest of entrepreneur's own capital is included in:
 (a) Gross profit (b) Wind fall gain
 (c) Net profit (d) None of them
- What factors influence future profits?
 (a) Improvement in the means of transportation (b) Foreign competition
 (c) Change in the taste and fashion of consumers
 (d) All above mentioned factors.
- If the price of the product increases due to sudden changes in socio-economic sectors of the economy, entrepreneur will earn:
 (a) Monopolistic profit (b) Wind fall gain
 (c) Speculative profit (d) Loss (Negative profit)
- Who introduced the theory of un-certainty regarding profit:
 (a) Schumpeter (b) Devenport
 (c) F.H. Knight (d) J.B. Clark
- Speculative gain is a part of:
 (a) Gross profit (b) Net profit
 (c) Wind fall gain (d) Monopolistic profit.

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8. Who presented the dynamic theory of profit:
(a) Prof. Fisher (b) J.B. Clark
(c) Prof. Taussig (d) J.S. Mill
9. Upto what extent Islam provides justification of profit:
(a) No limit is fixed (b) Profit taking is prohibited
(c) A reasonable and justified limit (d) From any source and limit.
10. Why an entrepreneur takes part in innovation and discoveries:
(a) For publicity (b) For profit earnings
(c) Under compulsion (d) To avoid competition.

DESCRIPTIVE PART - I

SHORT NOTES

1. What is meant by profit in economics?

Profit is the reward for the services of entrepreneur as a factor of production.

$$\pi = R - C$$

2. Define "Net Profit"

Net profit is the reward of entrepreneurial abilities which he shows in managing & running business, facing risks and bearing responsibilities of profit and loss.

3. Except "Net Profit" what is included in Gross Profit?

Except net profit rent of producers own land, interest of producers own capital, reward of producer's own labour, wind fall gain, monopolist gain, speculative gain etc. are included in gross profit.

4. What is the justification of profit in economics?

Economists justify profit as rent of land, wages of labourer, reward for risk bearing, superior bargaining ability, profit for un-certain conditions.

5. Describe four important reasons of difference in "Net Profit"?

Difference in nature of business, condition of competition in the market, Business fluctuations, Availability of capital.

6. What is the basic difference between profit and interest?

Profit is the reward of entrepreneurial services, it is not related with time period. It may be normal or abnormal. Interest is the reward of capital of its' use which is pre-fixed without risk or loss.

PART - II

1. Bring out difference between "Net Profit" and "Gross Profit".
2. Explain Prof. F.H. Knight's theory regarding profit.
3. What is the difference between "Profit and Interest".
4. Do you agree with the statement "profit is the outcome of risk-bearing and uncertainty bearing".

